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Gentera SAB de CV (GENTERA.MX)

Q4 2023 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Good morning and welcome to the Fourth Quarter 2023 GENTERA's Conference Call.

Now, I'd like to turn the call over to your host, Mr. Enrique Barrera, Investor Relations Officer of the company. Sir, you may begin.

Enrique Barrera Flores

Investor Relations Officer, Gentera SAB de CV

Thank you. Good morning and thank you all for joining us and for your continued interest in GENTERA. I'm Enrique Barrera, the company's Investor Relations Officer.

I'm very pleased to introduce our management team. With us today are Mr. Enrique Majós, GENTERA's Chief Executive Officer; Mr. Patricio Diez de Bonilla, Banco Compartamos' Chief Executive Officer; and Mario Langerica, GENTERA's Chief Financial Officer. Enrique Majós and Mario Langerica will present GENTERA's result for the fourth quarter period and full year 2023 as per the report that we issued yesterday. And Patricio Diez de Bonilla along with Enrique and Mario will actively participate in the Q&A session of this conference call.

Please note that in this presentation, GENTERA may make forward-looking statements. These will account for future economic circumstances, industrial conditions, company performance or financial results. Additional information on forward-looking statements can be found in the disclaimer located in our earnings release. If you did not receive a copy of the release or if you have any questions, please do not hesitate to contact our Investor Relations Department in Mexico City. If you are a member of the media, we ask that you contact us directly.

I would now like to turn the call over to Mr. Enrique Majós for his presentation. Enrique, please go ahead.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Thank you and good morning, everyone. We are always very happy to have you here and we appreciate your interest in GENTERA's results report. And at this moment, well, today, we are going to report the fourth quarter, but also what looked like the 2023 year which was, by the way, a very, very good year for GENTERA. So in this call, I will start by pointing out the main highlights of 2023. You will see that 2023 establishes a solid foundation ground and starting point for 2024. And also in this call, I will close my remarks by talking about our expectations and guidance for the present year, which is also very, very promising.

As you have found in our press release in 2023, we achieved record numbers for GENTERA in several business indicators. In terms of number of clients, GENTERA reached more than 5 million people through our different financial products and services. This means that just in one year, we grew more than 0.5 million net clients. And I am very happy to also tell you that recently in GENTERA we are celebrating two major events. Last October, Peru reached our first 1 million clients. This is a remarkable milestone since GENTERA bought Financiero Crear in 2011. And we started on those years with 80,000 customers located only in Lima and Arequipa and now we are getting to this first 1 million clients nationwide.

And the other event that we're celebrating is that in Banco Compartamos we reached our first 3 million customers just a couple of weeks ago. As you know, one of the fundamentals of Compartamos Banco's mission has to be with reaching as much people as possible. In 2008, Compartamos reached its first 1 million clients; by 2011, we reached 2 million clients; and as of January 2024, we are celebrating our 3 million customers milestone.

Another record result is our total portfolio size. At the end of 2023, GENTERA reached MXN 65 billion, which represents a 21% growth on a yearly basis and, as I said, it's a record number. Net income reached MXN 5,052 million, which, by the way, is also another record number. And in other results, we can also proudly report that the quality of our portfolio and cost of risk is within our guidance. Our guidance, as we have said in NPLs is between 3.5% and 4%, if we want to talk about a healthy portfolio and NPLs was 3.4% at the end of the year. Cost of risk stood at 11%, including the impact of OTIS Hurricane in Acapulco, which by the way, has been very well managed by our team and our clients happily are finding their way out to recover from the contingency.

In other relevant indicators, ROE was 19% and our funding and capitalization ratios are equally solid. At the same time, expenses are under control. Our income is growing faster than our expenses, and we expect to keep positive jaws for the rest of the year.

And I would like to mention some milestones regarding ATERNA and YASTAS. During 2023, ATERNA placed 50 million policies. This is an impressive number. This represents 16% growth compared with previous year. And this growth has to do with a great job of increasing our insurance product offer, as well as increasing also our distribution channels. In 2022, income from insurance products represented for GENTERA 6.7% of its total income. In 2023, this number increased to 8.8%. So the insurance business is taking more and more relevance for GENTERA.

Moving to YASTAS, with 25 million transactions accumulated in 2023, our network continues to consolidate as the strategic partner for more and more financial service providers. Banco Compartamos is the most relevant client of YASTAS in terms of number of transactions. However, there are other financial providers like HSBC and Banorte, and now we are proud to announce that we recently launched our partnership with Banco Santander.

Just to finish with the 2023 highlights, let me point out that besides the remarkable overall GENTERA's consolidated results, we feel very proud that all and each of our business units are showing historic growth and healthy operations. As you can see, 2023 left us with very solid results foundations and we have an outstanding starting point for the rest of the present year.

So let me now move to our guidance and expectations for 2024. 2024 will be a year of execution and consolidation. As you know, we are in the process of implementing several transformation initiatives. By executing 2024 according to our strategic plan, following years will be even better since we will have the processes and technology to operate in a more convenient way for our customers and in a more efficient way for GENTERA. We estimate that once we finished executing most of our initiatives this year, we can anticipate double-digit growth for the following years.

And just to remind you about some of the most relevant transformation initiatives that we are implementing, let me just point out three of them. In Peru, since the second half of last year, we are operating at 100% through our digital credit management platform that is called [ph] KALPA (00:09:18). This platform allows loan officers and clients to operate completely paperless. By using this platform, in 2023, we improved in Peru our loan officers' productivity by 25%, and the use of this tool will keep us giving incremental improvements in the following years.

We are sure that this platform will reinforce Financiera Compartamos' market position and leadership. Actually, as of today, Compartamos Financiera is the number one microfinance institution in terms of number of clients and the number four, if we consider the entire Peruvian financial system.

Now in Banco Compartamos, we are developing and deploying several digital initiatives. Some of them are focused on making our credit management process more efficient, and some others are designed to make a better use of data, business intelligence, analytics, all this to improve risk management and cross-selling capabilities mainly. The consolidation of these initiatives for Banco Compartamos in 2024 will take us to another level of productivity for the following years.

And other relevant transformation initiative has to do with our Credito Individual product in Banco Compartamos. Marketing effectiveness, loan officers' productivity, origination and portfolio management have been improved through new processes and technologies along the last one to two years and even before that. And as you have seen in our recent quarterly result, this product is taking us strongly, solid and healthy.

Well, finally, let me confirm the guidance for this year that you found in our press release. We expect to grow between 18% and 20% in portfolio and our EPS will be between MXN 3.5 and MXN 3.6, which means between 17% and 20% growth compared with last year. We are also expecting to distribute dividends based on our 40% dividend policy. Our Board of Directors will submit this proposal to the next shareholders' meetings, and we believe that proposal will be approved. Finally, as I already mentioned, we will maintain positive jaws and our ROE will move above 20%.

Let me now turn the call to Mario Langarica. Now, as usually, he will provide more specific information regarding our business and financial results. And after Mario's remarks, Patricio, Mario and myself will be glad to take your questions. Thank you for your attention.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

Thank you, Enrique and good day to everyone. As always, we appreciate your interest in GENTERA. As Enrique signaled in his remarks, we're very excited with the solid results that GENTERA achieved in 2023 and are very

enthusiastic with the strong dynamics that we're expecting for 2024 and the opportunities that lie ahead going forward.

Before we enter the specific financial data, we want to highlight the success of our decision to take advantage of the strong market opportunities that we saw in the first quarter of 2023, having more than 3,100 employees and upgrading our infrastructure that allowed, as Enrique just mentioned, us to reach a historic amount of more than 5 million people served. In 2023, we reached a historic growth of 574,000 credit clients, 72% higher than our best year ever and almost three times more compared to the number of clients generated in 2022. These efforts drove GENTERA to end the year with a historic loan portfolio, over MXN 65 billion, growing 21.4% compared to 2022. It is important to highlight that our three credit subsidiaries, Bank of Compartamos, Compartamos Financiera and ConCrédito end the year with double-digit growth in their specific loan portfolios. The dynamics that we're expecting for 2024 are very solid and support our guidance of 18% to 20% growth in the portfolio.

And another excellent result for the year is that even after the strong growth of our portfolio, GENTERA's relative cost of risk amounted to 11.1%, within our expected range, and NPLs at the end of 4Q 2023 stood at 3.44%, which is a very good level. We are growing strongly and at the same time we're maintaining solid asset quality. For 2024, we expect to maintain sound asset quality with a cost of risk between 11% and 11.5% and always maintaining robust coverage ratios above 200%.

Net interest income grew MXN 2.27 billion or MXN 9.2 billion in 2023. For 2024, we expect that this line will grow very similar to the expected growth of our portfolio, around 19%. Consequently, NIM for full year 2023 amounted to 39.7%, which was in line with the forecast for the year. And our expectations for 2024 is to keep moving around 40%.

Accumulated provisions for loan losses for the year amounted to MXN 6.47 billion, 21.7% higher compared to 2022. These higher level of provisions is mostly explained by the strong portfolio growth of all our subsidiaries. It is important to note that in the fourth quarter, we booked in Banco Compartamos MXN 194 million in non-recurring provisions related to Hurricane OTIS. It is important to note that since January, we are observing an improvement in the economic situation of our clients and much better collections than expected. Therefore, the final impact could be lower than what we originally provisions.

Accumulated net interest income after provisions grew 5.8% compared to 2022. For 2024, we expect that this line should also grow very similar to the expected growth of the portfolio around 19% and NIM after provision for 2023 amounted to 30.1% and for 2024, we expect that [ph] this index (00:16:48) should move around 30%.

Net fees amounted to MXN 2.88 billion, representing a 54.3% growth compared to year 2022. As we have explained in other conferences, calls, most of our fee income comes from our insurance business that, as Enrique previously explained, has continued to be able to become a very relevant contributor to our revenues. As mentioned in past conference call, part of these fees are non-recurring. Therefore, we should expect that for 2024, net fees should grow very close to the growth rates expected for the loan portfolio. The incremental use of YASTAS and Banco Compartamos branches have benefited GENTERA in depending less on the use of third-party channels and thus reducing fee expenses in relative terms.

Accumulated operational expenses for 2023 amounted to MXN 17 billion, representing 40% growth compared to year 2022. As we've explained before, a very important component of the expense growth that we have shown in the year follow the actions that we took to capture the market opportunity, such as hiring employees and upgrading our infrastructure.

Another important component of the expense line are the strategic investments that Enrique mentioned that we have been developing and implementing to make our operation more productive, efficient, and modern. As mentioned before, most of our revenues coming from these investments have already started flowing. Revenue generation since January has been very solid and we expect this income to keep flowing, as explained above, in the margin sections during 2024 and in line with our guidance.

Since, almost 75% of our expenses are related to sales, we expect that during 2024, we will still have double-digit growth in expenses moving around 17%. But very important, and as Enrique mentioned, we expect that total revenues will grow above expenses, implying positive jaws for the year. And since January, we have already been observing these trends. These expenses and investment will allow us to generate the solid loan portfolio growth and net income generation that we have guided.

Net income for the year amounted to MXN 5.05 billion. And also, as Enrique said, it's a historic record. GENTERA's controlling participation amounted to MXN 4.72 billion, representing an EPS of MXN 2.99. While we recognize that this result is slightly below the low end of the range guided last quarter, this happened mostly by the impact of Hurricane OTIS, as explained above. If we hadn't had this impact, the additional net income generated in the year would have been around MXN 140 million, which would have implied an EPS of MXN 3.07. Our commitment for 2024 is to deliver 17% to 20% growth in EPS.

GENTERA's controlling ROE for the year reached 19.3% where Banco Compartamos posted a return on equity of about 24.8%, Compartamos Financiera improve its ROE from 12.2% to 17.7% and ConCrédito improved from 19.1% to 24.4%. For 2024, we expect controlling ROE moving around 20.5%. All of these maintaining solid and healthy liquidity levels, strong and diverse access to funding sources, and robust capitalization.

And for the following years, as Enrique mentioned, we expect to continue delivering double-digit growth in GENTERA's loan portfolio, generating solid growth in total revenues with a healthy cost of risk and operational expenses under control, generating positive jaws that should allow us to keep delivering ROEs above 20%.

That is all from my remarks. Thank you for all for your attention. And now, we can look forward to the Q&A session.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] Our first question comes from Luis Yance with Santander. Please proceed with your question.

Luis Yance

Analyst, Santander Asset Management SA de CV SOFI

Q

Hi, Enriques, Mario, Pato. Thanks for taking my questions and congrats on the results. A few questions on my side and then appreciate, Mario, you're giving a lot of detail on the guidance for this year. But in particular with OpEx growth that you mentioned for this year, probably growing around 17%. When I look at last year, a lot of the growth in operating expense had to do with hiring, like hiring grew 14%, 15% and OpEx grew kind of the same.

Just wondering, on that assumption of growing OpEx 17% this year, what's the assumption in terms of hiring? Are you almost done with hiring? That's just the reflection of a full year of what you hired last year. Is it inflation and salaries going up and how we should think about it going forward as you keep growing longer, your portfolio, double digit? Does this line continues to grow in that way or at some point, we will see that inflection point in terms of operating leverage and perhaps this line growing less? That'll be my first question.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Yeah. Thank you, Luis. Very good question. Well, yes, we have finished the hiring that we did last year. And as you said, the payroll, [ph] it was (00:23:00) not for the full year last year. So that's an important component. Another important component which may be relevant is that the incentives grow basically at the same rate as portfolio growth. There is a smaller component of inflation, but in general, our wage increases are very in line with inflation. So most of it's variable expenses. Should these a relative size of expenses versus revenues change in the future? That's what we expect from 2025 going forward when we'll start [ph] encapsulating (00:23:40) all the efficiency of all the initiatives that we are already putting in the market and developing 2024. So for the following years and we should expect a better composition in relative terms.

Luis Yance

Analyst, Santander Asset Management SA de CV SOFI

Q

Great. Thanks a lot, Mario. And my other question has to do with NIMs. I mean, you mentioned, perhaps, we should expect NIMs to be relatively stable around 40% for this year. Does that take into account the imminent interest rate cutting cycle or if we start seeing the central bank cutting rates this year, that will be an additional benefit? Or how are you thinking about using that benefit? Would you try to pass it on to customers, so you can, reinforce this positive loophole with the customers or some of it will benefit GENTERA, maybe part of it will be passed on to customer, just to get a thought about – your thoughts about what happens to you when rates get cut.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Our projections for Mexico include a base rate of around 9.75%. If rates reduce faster or more than these, it should benefit us. What we are already assuming as lower reduction in rates in our projection, but that is included. I mean Peru, what we're putting our projection is something around 4.5%.

Luis Yance

Analyst, Santander Asset Management SA de CV SOFI

Q

Right. And my last question, in terms of loan growth, I mean, very robust guidance of growing 18% to 20%. What's the assumption for each division, ConCrédito, Peru and Mexico? And if there is additional upside to that, in which division you feel comfortable you may exceed guidance, if that were to happen?

Patricio Díez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

A

Thank you, Luis. This is Patricio. In terms of portfolio growth, the momentum that our sales force is having due to the high end of 2023 will remain for the coming months. So we are thinking about productivity of our employees, those that we hired last year. And all the subsidiaries should be growing, for example, Banco Compartamos we expect to grow around 17% portfolio, Compartamos Financiera should grow around 20%, and ConCrédito also around 17%, more or less. So the dynamics are already there. The market opportunity remains since competitors both in Mexico and Peru remain relatively weak. So we want to be focused [indiscernible] (00:26:40).

Luis Yance

Analyst, Santander Asset Management SA de CV SOFI

Q

Great. Thanks a lot, Pato and Mario for the answers. And congrats again on the results.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

A

Thank you, Luis.

Operator: Our next question comes from [indiscernible] (00:26:50) with UBS. Please proceed with your question.

Q

Yes. Hi. Good morning, everybody. Good morning, [ph] Kiki (00:27:00), Patricia, Mario. Thank you for taking my question. Actually, I have two, and my first one, it's basically related to the NPL in Peru because we saw some contraction – sharply contraction to 4.5% this Q. So we understand the mathematical fact here from the low acceleration [ph] quarter (00:27:25). But what could you share with this about the quality of that credit concession in Peru during the quarter and how much that acceleration of the credit portfolio was responsible for the NPL decrease in the quarter?

Patricio Díez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

A

Thank you. And this is back to again, Patricio. In terms of Peru, as you remember, last year, in 2023, we started the year with some climate events that, I mean, hit hard certain regions of the Peruvian market. So asset quality went up at the beginning of the year and we started to handling this situation throughout the 2023 with good results by year end. Of course, we are still focused on asset quality, we like to grow with quality. Peru is not outside from that. So, we expected to maintain this good momentum for asset quality in Peru, despite the fact that the economy is decelerating and the economic conditions are relatively weak. So, we will continue to be focused on originating the loans well and we expect to maintain a stable asset quality for this 2024.

Q

Okay. Thank you very much for this. And my second question, it's kind of a broader one. It's just to hear your thoughts about the [ph] narrow margin (00:29:07), just to understand what would be the contributions for the bank and what do you guys think about the potential impact over the industry? Just first, to understand a little bit more on this. Think about your customer base as well. Thank you very much again.

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

A

Thank you, I mean, many new initiatives to digitize the cash transaction are taking place. Now, [indiscernible] (00:29:33) was an example in the past and now it's been [indiscernible] (00:29:40). And again, most of our efforts are around how to move physical cash transaction into the digital world. In Mexico, we expect to use, for example, [indiscernible] (00:29:57) in order to do this cash in and cash out transaction for our customers. And once you have these physical cash into the digital world, you can use the [indiscernible] (00:30:12) or other apps to start doing transactions locally.

So, of course, it's an effort that everyone needs interested in. In Peru, for example, [indiscernible] (00:30:25) are working very nicely in Peru. So we are trying to take advantage of what we've learnt down there in order to move that experience to Mexico. And again, I think that most of all, the financial industry, it clearly focus on how can we migrate the physical cash transactions into a digital world that it's also as convenient as the cash is.

So still, the [indiscernible] (00:31:00) is on. And we need to see how this evolves and how we lead these efforts to digitize our relationship with the customers.

Q

Okay. That's great. Thank you very much, guys.

Operator: Our next question comes from Tito Labarta with Goldman Sachs. Please proceed with your question.

Tito Labarta

Analyst, Goldman Sachs & Co. LLC

Q

Hi. Good morning. Thank you for the call, and taking my question also. My question, I guess following up little bit on the asset quality one on the provisioning side, I understand provision is probably Hurricane OTIS and the strong growth in Compartamos. But yes, it's a mixed asset quality trends. I think you mentioned perhaps the provisions for Hurricane OTIS were a bit higher than you may need. How do you think about the cost of risk and provisioning for this year? Can that maybe improved a little bit, given the additional provisions you booked in 4Q? Just to think of what's the cost of risk that we should be thinking about for this year. Thank you.

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

A

Thank you. How are you, Tito? On the asset quality side, we have strengthening our origination processes. In the past, we were dependent on the loan officers to disburse loans. Today we are using more data in order to analyze the credit worthiness of our customers, both in group lending as well as individual, both in Mexico and Peru. And this is why we expect that even we have had a strong loan growth, we shouldn't be concerned about asset quality

at this point. So the reality is that most of our loans are within the range of that we expect as good asset quality. And as Mario said, the cost of risk is around 11% and should be around more – 1% above or below this threshold for this 2024.

So we expect to have cost of risk under control again due to the fact that we are using more data to originate loans both in group lending as well as individual in Mexico and Peru. So, I don't see it is still something that concern us in terms of asset quality at this point.

Tito Labarta

Analyst, Goldman Sachs & Co. LLC

Okay. That's great. Thanks, Patricia. Maybe a second question, if I can on fees. Very strong growth in fee income. How do you think about the sustainability of that growth? What's a normalized level of fee income growth that we can expect?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Yeah. As I mentioned, net fees should be growing similar to the portfolio. And as we mentioned in the past this year, we have a specific non-recurrence insurance fees that mostly related to adjustments in our [indiscernible] (00:34:15) with our insurance company. But going forward, net fees should be growing similar to the portfolio.

Tito Labarta

Analyst, Goldman Sachs & Co. LLC

Okay. Great. Thanks, Mario.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

You're welcome.

Operator: Our next question comes from Eric Ito with [ph] BRBC (00:34:30). Please proceed with your question.

Eric Ito

Analyst, Bradesco SA CTVM

Hi, Enrique, Mario and Patricia. Thanks for taking my questions and congrats on the strong guidance for this year, especially on loan growth. I have two questions as well. The first one is regarding your – what you guys are thinking about sustainable ROE of the bank? Maybe if we can achieve those levels in 2026 because this year, you are already guiding for ROE of around 20.5%, but then you have operating expenses growing around 17%, as you mentioned. So just want to get your thoughts on 2026, if you can see a high ROE and that should be the sustainable level as you get more operating leverage and your operating expenses should be lower.

And then my second question is regarding just your overall view on how you guys are thinking on [ph] handling (00:35:20) competition for loan growth in the segment. Thank you.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

Okay. Thank you very much. Well, regarding ROE, as we mentioned, give you – well, since last year, we accelerated our – reaching our goal of being above 20% some months ago. And that was very – we were very

happy about that. And the next phase is to improve efficiency and productivity as what we have said before. As you can see this year, we are guiding an ROE a little higher 20.5%, somewhere around 20.5%. But we should expect that, as Enrique mentioned, going forward the mix of better efficiency, better productivity and better revenue generation should allow us to have higher ROEs and better efficiency ratios. At this point, we don't want to guide anything differing than that, being able to deliver ROEs above 20% and probably by the end of the year when we have most of this in place, we could give you more guidance going forward.

Enrique Majós Ramírez*Chief Executive Officer, Gentera SAB de CV*

A

And in terms of competition, Eric, of course, we've seen a very tough year for most of our competitors, not only in Mexico, also in Peru. They are facing operational challenges as well as financial difficulties. So this is why last year we decided to redo these hiring processes and try to take this opportunity that the market had for us. And this year is not something different. So the competitive landscape is still in both countries relatively weak. So we think this is why we are guiding again a strong portfolio of growth for this 2024 and we feel comfortable that due to the market dynamics, we will be able to achieve that.

Eric Ito*Analyst, Bradesco SA CTVM*

Q

Okay. Perfect. Thank you very much.

Operator: [Operator Instructions] Our next question comes from Yuri Fernandes with JPMorgan. Please proceed with your question.

Yuri Fernandes*Analyst, JPMorgan Securities LLC*

Q

Hey, guys. No, thank you and congrats for volumes and a good year. I have a question regarding fees. I know Tito already asked on these, but just checking when you say fees should grow in line with the loans, you are also including other operating revenues, or just the fee line? That's one.

And also you mentioned it should keep growing around the pace of loans, but you also mentioned that you had some one-offs on the insurance side, right, the performance on your policies and we know all that. My question is if we should see like a decrease because for you to grow 18%, 20% fees without the insurance performance fees, maybe we should see an year of adjustment. So my question is the pace of loan growth for fees is from this year or no, we should see, a year of normalization like maybe not growing as much and then returning to the pace of growth.

So basically, two questions, orders, should we see orders growing in line with loans and two, like how to think about these non-recurring kind of impact for fees. And then I can ask a third one. Thank you.

Mario Ignacio Langerica Ávila*Chief Financial Officer, Gentera SAB de CV*

A

Let me give you a little bit understanding of the fee business. Of course, it's mainly driven now for the insurance products that we have throughout the companies. As you remember back a couple of years ago, we only had one product, life insurance and it was very successful. So the acceptance for this product is around 90%. And so we started to develop new products, health, security, not only now for the bank, but we expanded these to Peru, we expanded these to ConCrédito, and we are trying to sell these products to other institutions.

So the insurance business has become very dynamic product and this is why the trend that you've seen is now very relevant for us. Not only for the revenue streams, but most importantly because it generates social value to the customers. So you should expect that, yes, it will grow in line with customers, more or less in line also with portfolio, but going forward it's something more strategic for the group that we will maintain and you should expect strong momentum for these in the coming years.

Yes. And just to give you the answer to your second question, the growth expected is over the total revenues of 2023, including non-recurring. So we should expect this growth over those – including those non-recurrent.

Yuri Fernandes

Analyst, JPMorgan Securities LLC

Q

Got you. Okay. Now that makes sense. Mario, thank you. I still don't get the 17% growth on expenses. It seems a little bit too high. But I would like to ask you about 2025, Mario. You mentioned margins flat this year, but we have lower rates that was Luis said first question. Can you say margins ahead of 40%? Can you capture the funding benefit and run rate is slightly higher than 40% margins ahead and then your ROE could be higher than the one you have been saying? Thank you.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Yeah. Good question. At this point, we think that margins should stay more or less at that level. There is obviously the potential benefit of the reduction in rate, but also we will also be having a higher mix of individual lending. So at this point, what I could tell you that we should expect it needs to stay at the levels that we gave.

Yuri Fernandes

Analyst, JPMorgan Securities LLC

Q

Well, thank you, Mario and congrats for the year. Thank you.

Mario Ignacio Langarica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Thank you, Yuri.

Operator: Our next question is from Andres Soto with Santander. Please proceed with your question.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Q

Good morning and thank you for the presentation. My question is regarding the growth that you delivered in 2023 in terms of clients, 0.5 million as you mentioned at the beginning, very good number. I would like to understand a little bit about what is the profile of this new client. Is it clients from other micro lenders or these are people coming new to the micro-lending environment?

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

A

Okay. Thank you, Andres. This is Patricio. Yeah. As I said before, the competitive landscape in Mexico got very weak after the pandemic and recently due to liquidity issues for most of our competitors. So starting the year, we saw this opportunity and this is why we took the decision to hire over 2,000 people in the country. So to take this advantage, we hired the personnel and we tapped into this opportunity. As you can see, the market is still very

large. We grew a lot of new customers and some of them close to 50% are customers that had already other financial relationship with competitors, and now are customers of Banco Compartamos. So new customers as well as gaining customers from the competitors is something that we are taking advantage of and we will continue to do so in this 2024.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Perfect. That's very clear. So half of them are, we can say, are new to a micro-lending environment, right?

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

Yes.

Andres Soto

Analyst, Santander Investment Securities, Inc.

And have you made any adjustment to your risk models in terms of provisioning, I mean, for these new set of customers or you believe that your current models accurately predict the expected losses from these new set of customers?

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

Well, of course, we did some adjustments. As I said, we are using not only the sales force's experience. But taking more information about our customers, existing and non-existing with the information that it's already present in credit bureaus. So we complement the credit decision with financial and analytical tools, and this is why the growth that you've seen has not come with higher delinquency. So we will continue to use more data as we move along. And this is why we should expect a stable asset quality for this 2024.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Perfect. Thank you so much. And my second question is – oh, second questions is regarding your Peru operations. When we compared the results of Financiera Compartamos in Peru with the largest micro-lender institution in the country, results are quite contrasting. So I would like to understand what are you guys doing, what are you guys doing better in terms of profitability at the end that make us – make you have such much better results compared to the largest player?

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

Thank you. As you remember, the strategy to enter the Peruvian market is because we saw non-attended market for group lending methodologies. The group lending methodologies are different in their financial and cost structure than in individual lending. As you remember, most of our competitors in Peru, more and are very competitive on the individual lending side and this is where competition has gotten very, very fierce, still very fierce, but our strategy has been to move downwards into a unattended customer base. And this is why we are growing very fast in number of customers, over 27% growth last year in customers, with – as I said, these group lending methodologies [indiscernible] (00:46:46) at higher NIMs and this is why we are more profitable than most of our competitors in the Peruvian market.

But again, the strategy to tap into unattended market in Peru has proven to be successful. And this is why we reached the million-customer milestone last year and we will continue to grow fast enough this 2024, despite the fact that the Peruvian economy is relatively weak.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Q

That's very clear. And regarding the interest rate cap, I remember that this was an issue. But as the central bank started to increase interest rates, you were able again to open the door for this segment. Now that the central bank in Peru is cutting rates, what are your expectation for these interest rate cap and how much of adjustment in your business model is going to be applied in order to continue growing at the pace that you are doing?

Patricio Diez de Bonilla García Vallejo

Director General, Banco Compartamos SA Institución de Banca Múltiple

A

Right. In terms of the capital interest rate, it was an 83%. It moved to a higher to over 100%. So that gave us an opportunity to have – observe lower ticket customers and we are taking this advantage because as you can see, it's more of tickets at 83% might be challenging to serve due to the cost associated to these customer base. So with higher gap in the interest rate, we can target more customers. So that's good for the growth expectations and if the central bank in Peru lowers the interest rate, the reference rate, we should expect a higher NIM for the Peruvian business while maintaining or increasing profitability.

So the expectations for the Peruvian business remain strong and we will continue this momentum and we are committed with not only the country, but with our more than 60,000 employees and over 1 million customers in the country.

Andres Soto

Analyst, Santander Investment Securities, Inc.

Q

Great. Thank you very much for your responses. Very clear.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

A

Thank you, Andres.

Operator: Our next question is from Carlos Gomez with HSBC. Please proceed with your question.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Q

Hello. Good morning and congratulations on the results. Two questions on the balance sheet. First, we see that the goodwill level at [ph] Credito Mercantile (00:49:35) is unchanged at MXN 4.6 billion. Are you reviewing that calculation and do you anticipate any possible impairment for any of your units, in particular ConCrédito in the future period?

And second, you expect to grow in double-digit, 18%, 20%. With that level, what is your sustainable dividend payout and is the capital level of the group as it is now adequate, high or low relative to where you would like to be? Thank you.

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Thank you very much, Carlos. Thank you very much. Well, as you know, given the importance of the goodwill, we review that every year and even more frequently. And what we can say is that for 2023, the results of ConCrédito were above the projections. Therefore, there is no need for impairment. Having said that, we will continue reviewing the performance of the company versus the projections and in any case, we will have a reduced impairment if needed. As we said in 2022, if that happens, which we don't foresee that at this point, the amount of impairment, if it happens, should be something similar to what we incurred in 2022, something around MXN 350 million. But again, we are not expecting that. ConCrédito is performing well over projected flows.

Well, sorry, and the second, regarding the dividend payout, well, as we have said, we plan to keep at this point this 40% dividend payout. As you can assume, the next year's will imply a strong growth in the loan portfolio and therefore a strong growth in funding. We think that that is sustainable both in any case, if at any point we would need to form organic growth. What is very important is that we generate a lot of capital to do so. But at this point, what we will tell you is that we expect that 40% to remain.

Regarding capital adequacy, as you can see, we are now monitoring very closely tangible equity. Tangible equity for the year ended at around 22.1%. We have an internal limit on that and we keep monitoring tangible equity. With the expected guidance that we have given and again for 2025 going forward, we can accumulate more capital. Then we could expect that capital levels could increase.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Q

Very clear. Thank you so much.

Operator: We have one question in your webcast. [ph] Rafael Mendez (00:52:28) asks, can you give us some guidance for provision growth in 2024?

Mario Ignacio Langerica Ávila

Chief Financial Officer, Gentera SAB de CV

A

Well, what we give as guidance in terms of risk is the cost of risk between 11% and 11.5% and I already also gave the expected growth on [indiscernible] (00:52:47) provision. So I think that it could help to answer the question. Well, I don't know if we have additional questions.

Operator: There are no questions in the queue. So this concludes the question-and-answer session. I would now like to turn the call back over to management for final remarks.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Well, thank you all again for your interest. We are always happy to report to you our results. And let me point out some key messages that I take out of this call.

First of all, 2023 established a very solid foundation growth and starting point for 2024. So I guess that 2023 results will give us a very solid 2024 with the plans that we have already communicated to you. Secondly, and speaking about 2024, I think that this year will be about basically four things. The first one is we will continue growing since we see a big market opportunity and potential. So growth is one of our main focus for this year. The

second one is that we will continue our transformation process and specifically the use of technology to improve our customer experience and GENTERA's efficiencies. So that's why I said in my initial remarks that 2024 will be about execution and consolidation of great transformation initiatives to consolidate the growth and the efficiency and the customer experience, not only this year, but also for the following ones.

The third thing that we will be focused on in 2024 is, as obviously as we know, risk control and the quality of the portfolio. We believe we have very healthy numbers, but we have to be very aware about the context and the growth that we are looking at in our portfolio. So risk management will be also something that we'll be watching very closely. And finally in the fourth place, we will be very, very focused also in expense control, making sure that expenses are devoted to things that will give us business growth and investments that will continue our transformation journey.

So having said that, I will only would like to add a message of be grateful with you. Thank not only in the first place, our management team, I think they have done a very, very good job during last year and we continue doing it. I think that we should especially thank to our sales force, staff and the people that is in the field working and serving our clients and their commitment and hard work is outstanding. And finally, thank you to you for your trust and your support and see you next quarter. Thank you, and have a nice day.

Operator: Thank you all for participating in today's conference call. You may now disconnect your lines.

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